EX-10 4 exhibit104.htm EXHIBIT 10.4

TEST COPY for software testing. Some redacted values have been replaced with synthetic figures, and Exhibit A was not included in the filing and has been added with synthetic content. This is not the agreement as filed with the SEC.

Exhibit 10.4

MANUFACTURING AND SUPPLY AGREEMENT

THIS MANUFACTURING AND SUPPLY AGREEMENT (the "Agreement") is dated as of March 11, 2011, and is between iSatori Technologies, LLC ("ISATORI") a Colorado corporation doing business at 15000 West 6th Ave Suite 202, Golden, CO 80401 and Arnet Pharmaceutical Corp. ("ARNET"), a Florida Corporation doing business at 2525 Davie Road, Suite 330, Davie, FL 33317.

Background

The parties wish by this Agreement to set forth the terms and conditions under which ARNET shall manufacture for and supply to ISATORI the dietary supplements outlined in Exhibit A (the "Products"). The parties have previously signed a Confidential Disclosure Agreement dated the 14th day of September 2010.

Covenants

In consideration of the mutual promises and undertakings set forth herein, and intending to be legally bound hereby, the parties agree as follows:

1. Supply.

(a) Generally. ARNET shall manufacture and supply the Products to ISATORI in such quantities as ISATORI may order pursuant to purchase orders. The terms of this Agreement shall be deemed incorporated into and made a part of each such purchase order. All purchase orders shall include a minimum five (5) week lead-time. Lead time is defined herein as the time that elapses between the date the purchase order is submitted to ARNET and the date the purchase order is ready for shipment to ISATORI. Reasonable efforts shall be made to produce in shorter lead-times whenever permissible. No variation shall be permitted in the terms of any purchase order submitted by ISATORI except as ISATORI and ARNET may otherwise agree in writing. ARNET shall have five (5) business days to accept or reject any purchase order, in writing. Purchase orders that are not accepted within this time frame may be manufactured elsewhere. The terms, conditions, obligations, rights and remedies provided in this Agreement and each purchase order are intended to be consistent and cumulative. In the event, however, of any inconsistency between the terms and conditions of this Agreement and those of any purchase order, the terms and conditions of this Agreement shall govern.

(b) Pricing. As of the date of this Agreement, the purchase price for each unit of the Products ordered by ISATORI (the "Purchase Price") shall be as set forth in Exhibit A. Unless the parties otherwise agree in writing, all purchases and sales of the Products hereunder shall be FOB Davie, FL. If so directed by ISATORI, ARNET will ship an order directly to an ISATORI customer instead of to ISATORI. The Purchase Price shall be subject to mutually agreed adjustment to reflect (i) changes in products specifications or packaging/labeling and (ii) changes greater than 5% in ARNET's materials costs. Unless the parties otherwise mutually agree, any such Purchase Price adjustment shall be effective only with respect to purchase orders placed after effective date thereof. ARNET will honor the price of any previously issued purchase order and no price adjustments shall be made without at least ninety (90) days written notice to ISATORI by ARNET. In addition ARNET will review all formulas and costing twice per year, and make all reasonable efforts to pass along any price changes which may occur. (iii) Total annual price increases from ARNET to ISATORI cannot exceed 10% of original purchase price in one calendar year, for any one product, excluding extraordinary changes in raw material prices.

(c) Payment Terms & Conditions. Payment terms for all quantities of the Products purchased hereunder shall be Net Sixty (60) days from the date of shipment from manufacturer. ISATORI must remain current on account for this clause to remain in effect. ARNET has the right to terminate or modify terms for future Purchase Orders and/or stop shipments to ISATORI should the account become non-current. Precluding the account being non-current, any changes to payment terms and conditions must be agreed to, in writing, by both ISATORI and ARNET prior to them taking effect.

(d) Supply Requirements; Monthly Capacity. ARNET acknowledges that consistent and timely delivery of the Products is essential to ISATORI. ARNET represents and covenants that as of the date of this Agreement it shall have the capability to supply ISATORI each month with at least the number of units of the Products specified in Exhibit A as the "Monthly Capacity." The parties may from time to time adjust the Monthly Capacity by written amendment to this Agreement. If ARNET fails to or is unable to meet its supply requirements hereunder, ISATORI may, in addition to any other available remedies, cancel any affected purchase order upon written notice to ARNET and seek alternative sources for the Products without liability of any kind (in which case ARNET shall cooperate fully with ISATORI in making arrangements with such alternative sources and shall be notified in advance by writing of such sources). ARNET agrees to maintain a minimum materials inventory on hand necessary to manufacture the minimum order requirements as defined in Exhibit A, except for products defined as "Make to Order". If ISATORI has not purchased products for which the materials are designated for within one calendar year, ISATORI agrees that is liable for this minimum materials inventory and agrees to reimburse ARNET for these material costs (documented by vendor invoice to ARNET) within ninety (90) calendar days. At ISATORI request, it may instruct ARNET in writing to no longer maintain materials inventory for specified products.

(e) Disclaimer. ISATORI makes no representations regarding the quantities of the Products, if any, that it will order and purchase from ARNET pursuant to this Agreement.

2. Labeling and Packaging.

(a) Labeling. ISATORI shall be and remain solely responsible for (i) the creation of all labels to be affixed to and otherwise packaged with the Products and the content thereof (collectively, "Products Labeling"), (ii) conformance of all Products Labeling with all applicable legal requirements, (iii) the filing of all notifications required with respect to Products Labeling under federal, state, and local law (including those under 21 CFR 101.93 and 21 CFR 190.6), and (iv) obtaining and maintaining all necessary governmental approvals, permits or licenses required in connection with Products Labeling in the United States and elsewhere.

(b) Packaging. Subject to Section 3 hereof, each unit of the Products shall be packaged in such packaging as the parties shall mutually determine and as defined in the products specifications (Exhibit B). ISATORI may be responsible for supplying labels and display boxes for their products unless the parties otherwise mutually agree to other arrangements. ARNET will supply ISATORI a list with quantities of all ISATORI owned inventory in the possession of ARNET at the end of each calendar month. ARNET acknowledges that all other materials including but not limited to: Lids, bottles, shrink sleeves, master cartons, carton labels, pallets, cotton, desiccants, capsules, neck bands, neck tags, shipper dividers, stickers, labels, boxes etc...shall be included in the products prices as defined in Exhibit A. In the event of termination of this agreement, ARNET will return any ISATORI owned packaging material to ISATORI within ten (10) business days.

(c) Scrap Rates. The parties hereby acknowledge that all acceptable scrap rates for customer supplied materials shall be defined as. (1) 10% for customer supplied labels (2) 10% for customer supplied boxes. The parties agree to review actual scrap rates at a minimum on an annual basis and make adjustments as necessary. In the event that ISATORI determines scrap rates to exceed these tolerances on a ongoing basis (as defined as a period of 90 days or longer), ARNET shall have a period of 30 days to cure. In the event ARNET fails to cure within the 30 day period, ISATORI shall have the right to deduct off invoice the actual costs of the materials used in excess of the tolerable scrap rates. Any ISATORI owned packaging damaged and deemed unfit for use while in the possession of ARNET shall be replaced at cost by ARNET.

3. iSatori's Trademarks.

(a) Generally. The parties acknowledge that ISATORI intends to advertise, promote, market, sell and otherwise distribute the Products under or in association with their trademarks ("ISATORI's Trademarks"). ARNET acknowledges that, as between ARNET and ISATORI, all right, title and interest in ISATORI's Trademarks and the goodwill which it symbolizes shall belong exclusively to ISATORI and that all uses of ISATORI's Trademark shall inure to the benefit of ISATORI for all purposes. ARNET shall take no actions inconsistent with ISATORI's interests and rights in ISATORI's Trademark. ARNET shall not file any application for registration of ISATORI's Trademark (or challenge any existing registrations or applications to register